CORPORATE REPORTING

July-August 2023

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Marks

1. You are an audit manager of a reputed firm currently engaged in the audit of Circle Limited, a cement manufacturer. Circle Limited has two subsidiaries, viz., Oval and Star Ltd. Below draft financial statements along with notes from your audit team is furnished to you.

Statement of profit and loss **(Figures in BDT '000)**

For year ended 31 December 2022	Circle Ltd.	Oval Ltd.	Star Ltd.
Sales	0	500,375	70,000
Cost of sales	0	-263,125	-52,500
Gross profit	-	**237,250**	**17,500**
Other income	107,000	120,750	98,125
Administration cost	-2,300	-115,000	-50,000
Selling expenses	0	-57,500	0
Depreciation and amortization	-1,813	-25,875	-19,250
Finance cost	-91,250	-65,000	-5,250
Profit/(loss) before tax	**11,638**	**94,625**	**41,125**
Taxation	-6,063	-84,000	-19,500
Profit or loss for the period	**5,575**	**10,625**	**21,625**

Statement of financial position as at 31 December 2022 **(Figures in BDT '000)**

	Circle Ltd.	Oval Ltd.	Star Ltd.
Non-current assets			
Property plant and equipment	12,000	172,500	128,250
Intangible assets	6,750	1,875	10,750
Investment in subsidiary	143,000	39,000	
Total non-current assets (A)	***161,750***	***213,375***	***139,000***
Current assets			
Inventory	93.75	107,000	102,500
Receivables	2,531.25	16,500	15,000
Cash and bank	7,000	4,375	29,375
Total current assets (B)	***9,625***	***127,875***	***146,875***
Total assets C = (A + B)	**171,375**	**341,250**	**285,875**
Equity			
Share capital of BDT 10 each	2,000	50,000	30,000
Retained earnings	74,600	210,000	160,000
Other reserves	40,500	15,000	16,000
Total equity (D)	***117,100***	***275,000***	***206,000***
Non-current liabilities			
Long term borrowing (E)	***45,000***	***45,000***	***65,000***

	Circle Ltd.	Oval Ltd.	Star Ltd.
Current liabilities			
Short term borrowing	3,200	2,500	8,500
Payables	6075	18,750	6,375
Total current liabilities (F)	***9,275***	***21,250***	***14,875***
Total equity and liabilities G=(D+E+F)	**171,375**	**341,250**	**285,875**

Notes from Working Paper:

i. Investment in Oval Ltd: Circle Ltd acquired 70% of the share capital of Oval Ltd some years back for BDT 75 million cash transfer. On the date of acquisition, Oval Ltd's retained earnings balance was BDT 35 million. The fair value of each share of Oval Ltd at that date was BDT 23. Circle Ltd measures non-controlling interests at acquisition at fair value. The fair values of net asset were equivalent to book values at acquisition date. All other reserves arose in the post-acquisition period.

ii. Investment in Star Ltd: Circle Ltd acquired control in Star Ltd by acquisition of 30% of the share capital together with Oval Ltd acquiring 50% of share capital on the same date several years back when Star Ltd's retained earnings was BDT 25 million. Circle Ltd paid BDT 23 million and Oval Ltd paid BDT 39 million both as cash transfers to acquire the shares in Star Ltd. The fair value of each share of Star Ltd at that date was BDT 30. Circle Ltd measures non-controlling interests at acquisition at fair value. The fair values of Star Ltd's net assets were equivalent to book values at acquisition date. All other reserves arose in the post- acquisition period.

iii. Inter-entity transaction and balances: During the year, sales to Circle Ltd included in its Administration expenses and some remaining unused as inventory were as follows.

- Sales from Oval Ltd BDT 270,000: Still in inventory BDT 40,000: In payables BDT 80,000
- Sales from Star Ltd BDT 120,000: Still in inventory BDT 20,000: In payables BDT 60,000.

All these sale prices are inclusive of a mark-up of 25%.

iv. Management fee: Circle Ltd charges management fee to each subsidiary. Included in its other income and Administration expenses of the subsidiaries were BDT 220,000 and BDT 150,000 in Oval Ltd and Star Ltd respectively

v. Borrowings: On 01 October 2022 Circle Ltd took BDT 45 million loan for a term of 5 years at annual interest rate of 15% payable in arrears in equal installments per year. Circle immediately lent the amount to Oval Ltd at interest rate of 18% per annum for 5 years in arrears. The interest rate charged by Circle Ltd is considered similar to market rates. The loan is included in the Investment in Oval Ltd. Interest income is included in other income and receivables of Circle limited. Also interest expense for Oval limited is included in finance cost and interest payable is included in short term borrowings of oval limited.

vi. Goodwill impairment: Goodwill had never been impaired in previous years but the conditions and situations in year 2022 of the COVID 19 pandemic resulted into a reduction of activities that showed signs of impairment of goodwill. After assessment, the respective impairments loss was determined to be as follows:

Oval Ltd	BDT 7.0 million
Star Ltd	BDT 8.5 million

Requirement:

Prepare the consolidated statement of profit or loss for the year ended 31 December 2020 and the consolidated statement of financial position as at 31 December 2020. 20

2. a) Star Foods Limited (SFL) has appointed you as financial consultant. It is currently preparing its financial statements. Its Accountant Mr. Aftab is currently preparing its financial statements for the year ended 30 June 2023. Mr. Aftab is not sure how to account for these transactions and sought your assistance:

i) SFL has appointed Mr. Karim as head of business at the beginning of the year. As per the employment contract with Mr. Karim, SFL has agreed to provide housing facilities to Mr. Karim. Accordingly, SFL has entered into a rental contract with Sweet Homes Limited (SHL) for a house of Mr. Karim's choice with a 3-year period. Rental contract will be terminated if Mr. Karim leaves SFL or prefers alternative accommodation. SFL agreed to pay SHL an annual rental of BDT 1,200,000 at the beginning of the year for each of 3 years.

ii) SFL has bought a car with BDT 4,500,000 at the beginning of the year and rented to Ayesha Travels Limited (ATL) for a period of 5 years for an annual rental of BDT 1,000,000. Rents are paid in advance at the beginning of the year. SHL will retain the legal title during the rental period, but the car shall be returned to SFL at the end of the year. SFL estimates the car to have useful life of 6 years and depreciates the similar cars over a 6-year period.

iii) On 30 June 2023, SFL sold a warehouse to Delta Freights Limited (DFL) SFL for BDT 15,000,000 at fair market value. Carrying value of the warehouse was 12,500,000 with 10 years useful life. Upon selling the warehouse, SFL rented the warehouse for 6 years with annual rental of BDT 1,800,000 which is paid in advance at the beginning of the year. The transfer of asset satisfies the performance obligation under IFRS 15.

In all cases, incremental borrowing rate is 10% and rents are paid at the beginning of the year.

Requirement:
Guide Mr. Aftab on making correct treatment of the transactions above and suggest the journal entries need to be posted. 11

b) Dhaka Emergency Supply (DES), a public limited company, is reviewing the fair valuation of certain assets and liabilities in light of the introduction of IFRS 13 Fair Value Measurement.

It carries an asset that is traded in different markets and is uncertain as to which valuation to use. The asset has to be valued at fair value under International Financial Reporting Standards. DES currently only buys and sells the asset in the Bangladeshi market. The data relating to the asset are set out below.

Year to 31 December 2022	***North American market***	***European market***	***Bangladesh market***
Volume of market – units	4 million	2 million	1 million
Price	BDT 19	BDT 16	BDT 22
Costs of entering the market	BDT 2	BDT 2	BDT 3
Transaction costs	BDT 1	BDT 2	BDT 2

Additionally, DES had acquired an entity on 31 December 2022 and is required to fair value a decommissioning liability. The entity has to decommission a mine at the end of its useful life, which is in three years' time. DES has determined that it will use a valuation technique to measure the fair value of the liability. If DES were allowed to transfer the liability to another market participant, then the following data would be used.

Input	***Amount***
Labour and material cost	BDT 2 million
Overhead	30% of labour and material cost
Third party mark-up – industry average	20%
Annual inflation rate	5%
Risk adjustment – uncertainty relating to cash flows	6%
Risk-free rate of government bonds	4%
Entity's non-performance risk	2%

Requirement:
Discuss, with relevant computations, how DES fair value the above asset and liability under IFRS 13. 8

3. Golden Ventures Limited (GV) is negotiating acquisition of 60% shares of Wonder Cement Limited (WCL). As part of the acquisition process, GV received draft financial statements from WCL on which it performed due diligence. Due diligence report on above financial statement has identified following matters:

- Share Capital of WCL includes 651,665 preference shares which are expected to be redeemed in 3 years. All shares of WCL have face value of 10 Taka.
- Review of other trade payables identified that it includes a short-term bank loan of BDT 25,000,000. As per the borrowing agreement with bank, WCL will have to pay a security premium 5% on the outstanding liability in case the ownership or control of WCL is transferred to another party.
- Intercompany payables include an interest free short-term loan from one of the group companies. Carrying value of the loan is 1,000,000. As per the borrowing agreement, WCL need to pay 10% interest on the outstanding amount in case the ownership or control of WCL is transferred to another party.
- Lease liabilities reported in the financial statement has been calculated considering the incremental borrowing rate of 8% which its bank has offered for short-term borrowing.
- WCL leased its factory which will expire in 15 months. Although the rental agreement allows further extension of 10 years upon mutual agreement, there has not been any discussion yet. There are possibilities that the lessor might not agree to extend if ownership of WCL changes.

Wonder Cement Limited
Statement of Financial Position
As of 31 December 2022

	2022	2021
Assets		
Non-current assets		
Property, plant and equipment	2,163,913,912	2,192,418,731
Right of use assets	61,337,200	68,004,007
Intangible assets	129,313,684	146,512,348
	2,354,564,796	**2,406,935,086**
Current assets		
Inventories	636,188,205	603,858,900
Trade receivables	824,017,922	677,287,032
Advances, deposits and prepayments	556,412,588	619,967,189
Cash and cash equivalents	741,595,389	470,578,081
	2,758,214,104	**2,371,691,202**
Total assets	**5,112,778,900**	**4,778,626,288**
Equity and liability		
Equity		
Share capital	3,006,516,650	3,006,516,650
Revaluation reserve	924,220,688	924,220,688
Accumulated loss	(815,752,936)	(535,480,197)
	3,114,984,402	**3,395,257,141**
Non-current liabilities		
Deferred tax liabilities	140,909,092	168,318,992
Provision for gratuity	6,295,111	6,920,111
Lease liabilities	454,245	2,966,768
	147,658,448	**178,205,871**
Current liabilities		
Lease liabilities	2,126,459	6,021,694
Trade payables	222,122,972	148,891,692
Other payables and accruals	493,939,523	380,254,769
Intercompany payables	1,131,947,096	669,995,121
	1,850,136,050	**1,205,163,276**
Total liabilities	**1,997,794,498**	**1,383,369,147**
Total equity and liabilities	**5,112,778,900**	**4,778,626,288**

Wonder Cement Limited
Statement of profit or loss and other comprehensive income
For the year ended 31 December 2022

	2022	2021
Revenue	5,473,861,929	4,549,588,490
Cost of sales	(4,786,630,278)	(3,874,846,206)
Gross profit	**687,231,651**	**674,742,284**
Selling and distribution expenses	(505,584,592)	(471,823,752)
Administrative expenses	(274,803,881)	(227,426,658)
Foreign exchange gain/(loss)	(92,496,696)	49,052,697
Profit/ (Loss) before Interest & tax	**(185,653,518)**	**24,544,571**
Finance income	864,567	945,836
Finance cost	(10,570,755)	(5,572,687)
Profit/ (Loss) before tax	**(195,359,706)**	**19,917,720**
Income tax expense	(84,913,033)	(50,697,241)
Loss after tax	**(280,272,739)**	**(30,779,521)**
Other comprehensive income	-	-
Total comprehensive income/(loss)	**(280,272,739)**	**(30,779,521)**

Requirements:

a) Perform an overall analysis on WCL financial statements considering the matter identified during due diligence. 14

b) Identify and discuss ethical issues involving financial reporting by WCL. 4

c) Share your recommendations to GV on its plan to acquire WCL. 4

4. Strong Build Constructions Limited (SBCL) has appointed your firm as auditor for the year ended 31 March 2023 and you have been assigned in the audit engagement as manager. SBCL is a construction company engaged in construction of residential, commercial and infrastructure projects. SBCL prepares its financial statements in accordance with International Financial Reporting Standards. Analysis of the draft financial statement identified following matters:

- **Qualified opinion by predecessor auditor:**
  Predecessor auditor have issued a qualified opinion on prior year financial statements due to overstatement of trade receivables. Report explains that receivables from one particular customer remains uncollected for more than 365 days due to dispute with customer for which no allowance has been created. You have reviewed the current year customer ledger which shows significant number of sales transactions and collection from the same customer. However, closing receivables has increased by 50% from opening. Management believes no allowance is required as the customer is regularly transacting and making payments on regular basis.
- **Revenue:**
  SBCL is currently engaged in two residential and one commercial construction projects. Contract price of these projects are fixed in nature and have been made in US Dollar. However, SBCL is allowed to invoice to the customers in Taka on agreed upon milestones. However, all the contracts include a condition that if construction is completed before the agreed period, SBCL will be eligible for 10% performance bonus. SBCL policy to recognized revenue based on 'percentage of completion method'. However, due to variability in dollar price, SBCL were not able to able to determine total contract price in Taka. Therefore, SBCL have recognized revenue when invoices were issued to the customers based on milestone agreement.
- **Cost of revenue and other expense:**
  Construction costs are mostly in Taka which SBCL reports them as cost to revenue. Significant portion of the cost recognized raised from provision for expenses. Furthermore, SBCL incurs several administrative overheads which are proportionately allocated between cost of revenue and administrative expenses. SBCL has used one of its own forklifts in a construction project. The project has been charged with a cost that would have been paid if the forklift was rented from third party. Same amount has been deducted from the administrative expenses.
- **Fire on construction site:**
  SBCL uses several subcontractors in the construction projects. SBCL closely monitors their quality and timely delivery of work. However, due to poor quality of work and delayed delivery, SBCL terminated one the subcontractors engaged in commercial construction project. In rage, the subcontractor vandalized and set fire in the construction site. Due to delay in calling fire service and in absence of firefighting equipment within the construction site, fire could not be controlled on time. Therefore, construction site was heavily damaged and SBCL incurred massive loss. Construction was shut down for couple of months. SBCL estimates it will not be able to deliver this project on time.

In addition to the matter above, independence confirmation of you team member has identified that father of one audit team member works at SBCL as HR Executive.

Requirements:

a) Identify and assess the risks of material misstatements. Design appropriate audit procedures to address the identified issues & risks. 9

b) Guide SBCL management to comply with requirements of IFRS in the areas where it is not currently in compliance. Suggest correcting journals where required. 6

c) Determine your course of action on the matter identified during audit team members' independence confirmation. 2

d) Explain the impact of prior year qualification in current year audit report. 3

5. You are engagement partner for the audit of financial statements of Nahar Dairy Limited (NDL) as of 30 June 2023. During audit strategy meeting, your audit manager has highlighted following matters:

- NDL revenue has decreased from previous year. NDL management has explained that this is due to decreased in milk production. They believe that milk production has decreased due to recent extreme heatwaves, poor quality of grass and cows are aging.
- NDL sells UHT milk packs throughout the country. In its product package it mentions that packaged milk is produced in NDL own firm. However, in reality most of milk are bought from external sources though a third party.
- NDL has more than 200 cows in its dairy firms which are feed green grass purchased from nearby farmers. In order to get continuous supply of grass, it provides higher rate compared to other small dairy firms or individual dairy farmer. NDL sources packing materials and raw grasses at a price and from the parties directed by its operation manager.
- A recent newspaper published a report on NDL stating that it has built its cow sheds by occupying government land and filling up part of a cannel. Furthermore, cow waste is though in the cannel which is causing water and air pollution. NDL has reported these lands and sheds as non-current assets in the financial statements.
- Analysis of the financial statement shows that repair & maintenance expense and utility expense has increased. Management explained that these were required to repair the milk processing machines and adding cooling system in the processing plant during heatwave. Furthermore, medical expenses for the cows have increased as several cows became ill during the heatwave.
- Although NDL do not intend to sell its cow on Eid-ul-Adha (Qurbani Eid), it measures its biological assets in financial assets at price it is expected to be sold during Eid-ul-Adha when demand for cow surges.
- NDL sales its milk packs to a distributor who is responsible for selling and distributing the packs across country. NDL is responsible to raising demand through promotion.

Requirements:

a) Explain to your team members about climate related risks in NDL operation and their effects in the financial reporting. Recommend the audit procedures your team should perform to address climate related risks. 4

b) Guide your team on auditors' response to negative media coverage on client. 4

c) From the business understanding shared by your team, identify the audit risks in NDL operation and suggest audit procedures that your team members should perform. 7

d) Identify and explain the ethical issues in NDL operation. Explain to your team members how they can be addressed. 4

---The End---